

The Bihar Khadi and Village Industries Act, 1956

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State of Bihar - Act

The Bihar Khadi and Village Industries Act, 1956

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The Bihar Khadi and Village Industries Act, 1956

Act 14 of 1956

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The Bihar Khadi and Village Industries Act, 1956

(Bihar Act

14 of 1956

)

Published in the Bihar Gazette, of the 1st August, 1956.

An Act to Provide for organising, developing and regulating Khadi and Village Industries in the State of Bihar and to constitute a Board to carry out the said objects.

Be it enacted by the Legislature of the State of Bihar in the Seventh Year of the Republic of India as follows :-

Chapter I

Preliminary

1.

Short title extent and commencement.

(1)

This Act may be called the Bihar khadi and Village Industries Act, 1956.

(2)

It extends to the whole of the State of Bihar.

(3)

It shall come into force on such date as the State Government may, by notification in the Official Gazette, appoint.

2.

Definitions.

- In this Act, unless there is anything repugnant in the subject or context :-

(a)

"Board" means the Bihar khadi and Village Industries Board established under Section 3;

(b)

"khadi" means cloth woven on handlooms in India from cotton, silk or woollen yarn handspun in India, or from a mixture of any two or all of such yarns;

(c)

"prescribed" means prescribed by Rules made under this Act, and

(d)

"village industry" means any of the industries specified in the Schedule to this Act, and shall include such other industry as the State Government may, by notification in the Official Gazette, specify in this behalf in consultation with the Board.

Chapter II

Establishment, Constitution and Dissolution of the Board

3.

Establishment of the Board.

(1)

As soon as may be after the coming into force of this Act there shall be established, for the purposes of this Act, by the State Government, a Board to be called the Bihar khadi and Village Industries Board.

(2)

The Board shall be a body corporate and shall have perpetual succession and a common seal and shall by the said name sue and be sued.

4.

Constitution of Board and term of office.

(1)

The Board shall consist of not less than three and not more than five members appointed by the State Government, one of them being nominated by the State Government to be the President thereof.

(2)

The State Government in consultation with the Board, may appoint a person, who may or may not be a member of the Board, to be the Secretary of the Board.

[(2-A) The State Government shall appoint a person not being a member of the Board, to be the Financial Advisor and Chief Accounts Officer to the Board]

[Added by Bihar Act No. 2 of 1964.]

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(3)

The Board shall have power to co-opt for the discussion of any particular matters before it, any officer of the State Government or experts specially qualified to advise on the matter or having special knowledge of local conditions in any area where the industry in question is situated:

Provided that any member so co-opted shall not be entitled to vote.

(4)

The term of office of the President and other members of the Board shall be three years from the date of publication of their names in the Official Gazette and shall include any further period which may elapse between the expiration of the said period of three years and the date of publication in the Official Gazette of the names of the members of the next

succeeding Board.

(5)

The President and other members shall be eligible for re-appointment.

(6)

The non-official members of the Board shall be paid such allowances from the funds of the Board as may be prescribed.

(7)

[The term of the office and the terms and conditions of service the Financial Advisor and Chief Accounts Officer to the Board shall be such as may be prescribed]

[Added by Bihar Act No. 2 of 1964.]

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5.

Resignation by the President or a member.

- The President, or any other member of the Board may, at any time, resign his office by submitting his resignation to the State Government, but no such resignation shall take effect until it is accepted by the State Government.

6.

Disqualification for appointment on the Board.

- A person shall be disqualified for being appointed, or for continuing, as a member of the Board, if he -

(a)

does not wear khadi; or

(b)

holds any office of profit under the Board; or

(c)

is of unsound mind or stands so declared by a competent Court; or

(d)

is an undischarged insolvent or has applied for being adjudged an insolvent; or

(e)

has been convicted of an offence, which involves, in the opinion of the State Government, moral turpitude; or

(f)

has directly or indirectly by himself, by his wife or son, or by any partner, any share or interest in any subsisting contract or employment with, by, or on behalf of, the Board; or

(g)

is a director or secretary or manager or other salaried officer of any incorporated company or any co-operative society, which has any share or interest in any contract or employment with, by, or on behalf of, the Board:

Provided that a person shall not be disqualified under clauses (f) and (g) or be deemed to have any share or interest in any contract or employment with, by, or on behalf of, the Board, by reason only of -

(i)

his, or of the incorporated company or of a co-operative society of which he is a director, secretary, manager or other salaried officer, having a share or interest in any newspaper in which any advertisement relating to any affairs of the Board is inserted, or

(ii)

his being a share-holder of such a company or society, if he has disclosed to the State Government the nature and extent of the share held by him from time to time.

7.

Removal or suspension of a member of the Board.

(1)

The State Government may, after such inquiry as may be necessary, remove from office the President or any other member, if he -

(a)

refuses to act; or

(b)

has become incapable of acting; or

(c)

has abused his position in the Board so as to render his continuance on the Board detrimental to its interest; or

(d)

fails, without such reason as may in the opinion of the State Government be sufficient, to attend three consecutive meetings of the Board; or

(e)

ceases to reside in the State of Bihar; or

(f)

has since his appointment incurred any of the disqualifications specified in Section 6; or

(g)

is otherwise unsuitable to continue on the Board.

(2)

No order of removal under sub-section (1) shall be made, unless the member concerned has been given an opportunity to submit his explanation to State Government:

Provided that a member may be suspended by the State Government pending an enquiry against him.

(3)

A member who has been removed under clause (c) or (f) of sub-section (1) shall not be eligible for appointment to the Board as member or in any other capacity.

8.

Filling of casual vacancies.

- If the President or any other member of the Board is unable, by reason of his death, resignation, removal or otherwise, to complete his full term of office, the vacancy so caused shall be filled by the appointment of another person and such person shall fill such vacancy for the unexpired portion of the term for which the President or the member, as the case may be, in whose place such person is appointed would otherwise have continued in office.

9.

Validity of proceedings.

- No act or proceedings of the Board shall be deemed to be invalid only by reason of the existence of a vacancy in the Board or any defect or irregularity in the appointment of a member or the constitution of the Board.

10.

Appointment of members of staff of Board and conditions of their service.

(1)

The Board may, subject to the approval of the State Government, appoint such number of officers and servants as it may consider necessary.

(2)

The remuneration, allowances and other conditions of service of the officers and servants of the Board shall be such as may be determined by regulations made by the Board.

11.

Constitution of the Advisory Council.

(1)

To Advise and assist the Board in the discharge of its functions under this Act, the State Government may, by notification in the Official Gazette, constitute an Advisory Council to be called the Bihar Khadi and Village Industries Advisory Council, consisting of a Chairman and such number of other members, not exceeding fourteen, as are, in the opinion of the State Government, interested in the development of khadi and village industries:

Provided that the President of the Board may also be the Chairman of the Advisory Council.

(2)

The term of office of the Chairman and other members of the Advisory Council shall be three years from the date of the publication of their names in the Official Gazette:

Provided that the State Government may, if it thinks expedient, dissolve, at any time, the Advisory Council or accept the resignation of any member of the Advisory Council or direct that any person shall cease to be a member thereof; and any such action of the State Government shall not be questioned in any Court.

(3)

The business of the Advisory Council shall be conducted in such manner as may be prescribed.

(4)

The non-official members of the Advisory Council shall be paid such allowances from the funds of the Board as may be prescribed.

12.

Conduct of business of the Board.

(1)

The Board shall have an office at Patna or at such other place as the State Government may, in consultation with the Board, by notification, determine and shall meet at such time and place; and every meeting of the Board shall be summoned in such manner, as may be determined by Regulations made by the Board:

Provided that the President may, whenever he thinks fit, can call special meetings.

(2)

Every meeting shall be presided over by the President, and in his absence the members present shall elect one of their member to preside at the meeting.

(3)

All question at any meeting shall be decided by a majority of the members present and voting and, in case of an equality of votes, the person presiding shall have and exercise a second or casting vote.

(4)

The minutes of the proceedings of every meeting shall be recorded in a book to be provided for the purpose.

(5)

A copy of the minutes of the proceedings of every meeting shall be forthwith forwarded to the State Government or to such authority as the State Government may direct.

13.

Dissolution of the Board.

(1)

If at any time the State Government is satisfied that -

(a)

the Board has, without reasonable cause or excuse, made default in the performance of its duties or the discharge of its functions, imposed by or under this Act, or exceeded or abused its powers, or

(b)

circumstances have so arisen that the Board is rendered unable or may be rendered unable to discharge its functions under this Act, or

(c)

it is otherwise expedient or necessary to dissolve the Board,

the State Government may, by notification in the Official Gazette, dissolve the Board for such period as may be specified in the notification and declare that the duties, powers and functions of the Board shall, during the period of dissolution, be performed, exercised and discharged by such person or authority, as may be specified in the notification.

(2)

The State Government shall, before the expiration of the period of dissolution, reconstitute the Board in accordance with the provisions of Section 4.

(3)

The State Government may make such incidental and consequential provisions as may appear to be necessary for giving effect to the purposes of this Section.

(4)

Any notification or order made by the State Government under this Section shall not be questioned in any Court.

Chapter III

Functions and powers of the Board

14.

Functions of Board.

(1)

It shall be the duty of the Board to organise, develop and regulate khadi and village industries and perform such other

functions as the State Government may prescribe from time to time.

(2)

Without prejudice to the generality of the provisions of sub-section (1), the Board shall, in particular, discharge and perform all or any of the following duties and functions, namely -

(a)

to start, encourage, assist and carry on khadi and village industries;

(b)

to help the people by providing them with work in their homes and to give them monetary help;

(c)

to encourage the establishment of co-operative societies for khadi and village industries;

(d)

to conduct training centres and to train people to such centres or at other centres outside Bihar with a view to equipping them with the necessary knowledge for starting or carrying on khadi or village industries;

(e)

to arrange for the supply of raw materials, tools and implements and for the sale of the finished products of such industries;

(f)

to arrange for publicity of, and popularising, finished products of such industries by opening stores, shops, emporiums or exhibitions;

(g)

to endeavour to educate public opinion and to impress upon the public the advantages of patronising the products of khadi and village industries;

(h)

to seek and obtain the advice and guidance of experts in such industries;

(i)

to undertake and encourage research work in connection with khadi and village industries;

(j)

to maintain or assist in the maintenance of institutions for the development of khadi or village industries; and

(k)

to discharge such other duties and to perform such other functions as the State Government may direct for the purpose of carrying out the objects of this Act.

(3)

The Board shall ordinarily consult the Advisory Council constituted under Section 11 with respect to the discharge of its functions under this Act.

15.

General powers of Board.

- The Board shall, for the purposes of carrying out its functions under this Act, have the following powers, namely :-

(i)

to acquire and hold such movable and immovable property as it deems necessary and to lease, sell or otherwise transfer any such property:

Provided that in the case of immovable property such power shall be exercised with the previous sanction of the State Government;

(ii)

to incur expenditure and undertake any work in any area in the State for the framing and execution of such schemes as it may consider necessary for the purpose of carrying out the provisions of this Act or as may be entrusted to it by the State Government; and

(iii)

to enter into any contract and to do all things necessary for the purpose of this Act.

Chapter IV

Preparation and Submission of Programmes

16.

Preparation and submission of annual programme.

(1)

In each year, on such date as may be prescribed the Board shall prepare and forward in prescribed form to the State Government -

(a)

a programme for the promotion and development of khadi and village industries; and

(b)

a schedule of the staff of officers and servants already employed and to be employed in the next year.

(2)

The Programme shall contain -

(a)

particulars of the scheme which the Board proposes to execute during the next year;

(b)

particulars of any work which the Board proposes to execute or any undertaking which it proposes to organise during the next year for the purposes of carrying out its functions under this Act; and

(c)

such other particulars as may be prescribed.

17.

Sanction of programme.

- The State Government may sanction the programme and the schedule of staff of officers and servants with such modifications as it deems fit.

18.

Supplementary programme.

- The Board may prepare and forward a supplementary programme for the sanction of the State Government in such form and before such date as may be prescribed and the provisions of Section 17 shall apply to such supplementary programme.

Chapter V

Finance, Accounts, Audit and Debts

19.

Transfer of property.

- The State Government may transfer to the Board, Buildings, lands or any other property, movable or immovable, for the use of, and management by, the Board on such conditions as the State Government may impose for the purposes of this Act.

20.

Expenditure, etc., till the Board is established.

- All debts or expenditure incurred, all contracts, entered into, and all matters and things engaged to be done by, with or for the State Government, in connection with the purposes of this Act before and up to the date of the establishment of the Board, shall be deemed to have been incurred, entered into, or engaged to be done by, with or for the Board, and in all suits and other legal proceedings instituted by or against the State Government, the Board shall be deemed to be substituted for the State Government.

21.

Fund of Board.

(1)

The Board shall have two separate Funds to be called the 'khadi' Funds and the 'Village Industries Fund' and all grants and advances made to the Funds from time to time, by the State Government for the purposes of development of khadi or the development of village industries and all other receipts of the Board shall be credited to the 'khadi' Fund, or the 'Village Industries Fund', as the case may be, and all payments by the Board for or in respect of khadi or village industries shall be made from the appropriate Fund.

(2)

The Board may accept grants, subventions, donations and gifts and receive loans from Government or a local authority or any body or association, whether incorporated or not, or an individual for all or any of the purposes of this Act.

(3)

All money belonging to the Board shall be deposited in such manner as the State Government may, by special or general order, direct.

(4)

The accounts of the Board shall be operated upon by the Secretary and such officers of the Board jointly or individually as it may authorise.

22.

Application of fund and property.

- All property, fund and other assets of the Board shall be held and applied by it subject to the provisions of, and for the purposes of this Act.

23.

Subventions and loans to Board.

(1)

The State Government may, from time to time, make subventions and grants and advance loans to the Board for the purposes of this Act on such terms and conditions as the State Government may determine in each case.

(2)

The Board may, with the previous sanction of the State Government and subject to the provisions of this Act and such conditions as the State Government may determine borrow any sum required for the purposes of this Act.

24.

Budget.

- The Board shall, by such date in each year as may be prescribed, prepare and submit to the State Government for approval two separate budgets in the prescribed form for the next financial year, to be called the khadi budget and the Village Industries budget, showing the estimated receipts and expenditure in respect of khadi and village industries, respectively, during that financial year.

25.

Sanction of Budget.

(1)

The State Government may sanction the Budget submitted to it with such modifications as it thinks fit.

(2)

Subject to the provisions of sub-sections (3) and (4), no sum shall be expended by or on behalf of the Board unless the expenditure is covered by a specific provision in the budgets approved by the State Government.

(3)

The Board may, within the respective limits of the khadi Budget and the Village Industries Budget, sanction any re-appropriation from one head of expenditure to another or from a provision made for one scheme to that in respect of another; but in no case shall a re-appropriation of Fund be made from the khadi Budget to the Village Industries Budget or from the Village Industries Budget to the khadi budget except with the previous approval of the State Government:

Provided that no re-appropriation from the head loan to any other head of expenditure and vice versa in either budget shall be sanctioned by the Board, except with the previous approval of the State Government.

(4)

The Board may, within such limits and subject to such conditions as may, be prescribed, incur expenditure in excess of the limit provided in the budgets approved by the State Government under any head of expenditure or in connection with any particular scheme, so long as the aggregate amount in either budget approved by the State Government is not exceeded.

26.

Supplementary Budget.

- The Board may submit a supplementary budget for the sanction of the State Government in such form and before such date as the State Government may prescribe and the provisions of Section 24 and 25 shall apply to such supplementary Budget.

27.

Annual Report.

- The Board shall prepare and forward to the State Government in such manner as may be prescribed an annual report

within three months of the end of the financial year giving a complete account of its activities during the previous financial year.

28.

Further report, statistics and returns.

- The Board shall before such date and at such intervals and in such manner as may be prescribed, submit to the State Government a report on such matters and such statistics and such returns as may be prescribed.

29.

Accounts and Audit.

- The accounts of the Board shall be maintained and an annual statement of accounts shall be prepared in such manner as may be prescribed. Such accounts shall be audited by an Auditor approved by the State Government.

Chapter VI

Miscellaneous

30.

Direction by State Government.

(1)

In the discharge of its functions, the Board shall be guided by such instructions on questions of policy as may be given to it, from time to time by the State Government.

(2)

If any question arises between the State Government and the Board as to whether or not a question is a question of policy, the decision of the State Government shall be final.

31.

Members, Officers and Servants of the Board to be public servants.

- Members, Officers and Servants of the Board shall be deemed, when acting or purporting to act in pursuance of any of the provisions of this Act, to be public servants within the meaning of Section 21 of the Indian Penal Code (XLV of 1860).

32.

Protection of action taken under this Act.

- No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or purported to be done under this Act.

33.

Power to make Rules.

(1)

The State Government may subject to the condition of previous publication, make Rules for carrying out the purposes of this Act.

(2)

In particular and without prejudice to the generality of the following powers, such Rules may provide for all or any of the following matters, namely :-

(a)

the allowances of members of the Board and the Advisory Council;

(aa)

[The terms of office and the terms and conditions of source of the Financial Advisor and the Chief Accounts Officer to the Board including the salaries and allowances to be paid to him by the Board;]

[Added by Bihar Act No. 2 of 1964.]

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(b)

the manner and form in which contract shall be entered into;

(c)

the functions of the Board;

(cc)

[The powers and duties to be exercised and performed by the Financial Advisor and Chief Accounts Officer to the Board.]

[Added by Bihar Act No. 2 of 1964.]

(d)

the form and particulars of the programme for the promotion and development of khadi and village industries and schedule of the staff of officers and servants;

(e)

the form in which and the date before which the supplementary budget shall be submitted;

(f)

the manner in which the annual report shall be prepared and forwarded to the State Government;

(g)

the manner of maintenance of accounts and preparation of annual statement of accounts; and

(h)

any other matter which is or may be prescribed under this Act.

34.

Regulations.

(1)

The Board may, with the previous sanction of the State Government, make Regulations not inconsistent with this Act and the Rules made thereunder and publish them in the Official Gazette.

(2)

In particular and without prejudice to the generality of the foregoing power, the Board may make Regulations providing for -

(a)

the procedure and disposal of its business;

(b)

remuneration, allowances and other condition of service of members of the staff of the Board, [other than Financial Advisor and Chief Accounts Officer to the Board;]

[Added by Bihar Act No. 2 of 1964.]

and

(c)

functions and duties of the members of the staff of the Board, [other than Financial Advisor and Chief Accounts Officer to the Board.]

[Added by Bihar Act No. 2 of 1964.]

35.

Savings.

(1)

Nothing in this Act shall be deemed to apply to any industry declared to be a scheduled industry under the Industries (Development and Regulation) Act, 1951 (LXV of 1951), or to affect any of the provisions of that Act.

(2)

The provisions of this Act shall be in addition to and not in derogation of the provisions of any other law for the time being in force relating to khadi and village industries.

The Schedule

[See Section 2 (d)]

1. Bee-keeping.

2. Cottage match industry.

3. Cottage pottery industry.

4. Cottage soap industry.

5. Flaying, curing and tanning of hides and skins and ancillary industries connected with the same and cottage leather industry.

6. Ghani oil industry

7. Hand-made paper.

8. Manufacture of gur and khandsari.

9. Palm-gur making and other palm products industry.

10. Hand processing of cereals and pulses.

11. Woollen blanket industry.

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